STRATEGIC BUSINESS MANAGEMENT AND LEADERSHIP

Suggested Answers
March-April 2025

Answer to the Question# 1

(a) Risk and Challenges in Expanding to Bangladesh

Expanding into a new international market involves multifaceted risks. For HW, the major categories of risks/challenges associated with entry into the **Bangladesh market** include:

1. Political and Regulatory Risk

- Bangladesh is currently under an interim government amid political uncertainty. Policy reversals or instability may affect foreign business operations.
- Changes in import duties, foreign ownership restrictions, or sudden regulatory interventions can increase operational risks.
- Bureaucracy and delays in getting necessary clearances or licenses can impede swift market entry.

2. Economic and Currency Risk

- Bangladesh is facing an ongoing economic crisis marked by inflation, forex reserve depletion, and currency depreciation.
- The fluctuating **Bangladeshi Taka (BDT)** can lead to unfavorable exchange rate losses.
- High interest rates and volatile purchasing power of the middle class may impact consumer spending patterns.

3. Legal and Compliance Risk

- Navigating local business laws, such as those related to taxation, digital commerce, consumer protection, and labor, can be complex.
- Intellectual property protection may not be as strong, posing risks to brand and product imitation.

4. Cultural and Consumer Behavior Risk

- Consumer preferences, buying habits, and brand loyalties vary. A product line that works in the Middle East may not appeal directly to Bangladeshi consumers.
- Cultural sensitivities around advertising, gender roles, or religious values must be managed carefully to avoid backlash.

5. Infrastructure and Logistics Risk

- Weak logistics infrastructure, including unreliable delivery networks and warehousing issues, may hinder e-commerce effectiveness.
- Power outages, lack of cold chain logistics (especially for health/beauty supplements), and inefficient customs can delay operations.

6. Digital and Technological Risk

- Although Bangladesh has high internet penetration, actual e-commerce penetration is limited by poor digital literacy, mistrust in online payments, and limited access to high-speed connectivity in rural areas.

(b) B2C E-commerce Models and Suitability for Bangladesh

1. Marketplace Model

Description: HW can create a platform where third-party sellers list their products and HW earns commission per sale (e.g., Amazon, Daraz).

Suitability:

- High internet penetration and smartphone usage make it viable.
- Low initial investment as inventory is not held by HW.
- However, local competition is intense (e.g., Daraz, Evaly, Chaldal).

Evaluation: Moderately suitable but differentiation needed.

2. Inventory-led Model

Description: HW stocks and sells its own inventory directly to customers through its own online platform.

Suitability:

- Provides quality control, pricing control, and brand integrity.
- Requires significant upfront investment in warehousing, supply chain, and local teams.
- Better suited to urban areas like Dhaka or Chittagong initially.

Evaluation: Suitable for premium product lines or brand-specific campaigns.

3. Omnichannel Model

Description: Combines online presence with physical retail stores or pick-up points (e.g., click-and-collect).

Suitability:

- Blends digital and physical experience for customers who prefer offline touchpoints.
- Ideal in Bangladesh where trust in physical presence supports online engagement.
- Helps build brand trust and familiarity.

Evaluation: Highly suitable. Best model to gain trust of the middle-class demographic.

4. Subscription-based Model

Description: Customers subscribe to receive products on a recurring basis (e.g., beauty boxes, health supplements).

Suitability:

- Works well for consumables like vitamins, cosmetics, or wellness products.
- However, requires high customer retention and trust.
- E-payments and delivery consistency are still under development.

Evaluation: Niche-suitable. May work as a secondary model once brand loyalty is established.

Recommended Models for HW in Bangladesh:

- **Omnichannel Model** – To build trust and provide convenience.
- **Inventory-led Model** – For brand control and premium positioning.

Combination of both would allow HW to test market response while maintaining quality and brand equity.

(c) Why Expansion into Another Country is a Strategic Decision

Expanding into a new country like Bangladesh should be considered a **strategic decision** for the following reasons:

1. Long-term Commitment and Resource Allocation

- Market expansion demands significant investment in market research, infrastructure, staffing, logistics, and brand positioning.
- It affects capital structure, business priorities, and strategic direction for years.

2. Risk and Return Trade-off

- Country-specific risks (political, legal, economic) can impact returns.
- Strategic planning ensures proper assessment of cost vs. benefit and helps build competitive advantage.

3. Brand Positioning and Market Differentiation

- Entry into Bangladesh can enhance HW's brand value as a regional giant and allow it to reposition as a global player.
- It helps in capturing underserved or emerging markets before competitors.

4. Alignment with Vision and Core Competencies

- If the move supports HW's mission (regional dominance, customer proximity, diversification), then it aligns with its strategic growth plan.
- It leverages existing strengths (supply chains, product lines, digital platforms) across new geographies.

5. Scalability and Sustainability

- A successful entry can create a template for further expansion into South Asia.
- Long-term growth and job creation align with sustainable development goals, contributing to social impact and reputation.

Conclusion

HW's proposed entry into Bangladesh presents both challenges and opportunities. While economic and regulatory risks exist, they are balanced by a large internet-savvy population and rising consumer aspirations. A **phased approach using an omnichannel and inventory-led model**, supported by robust strategic planning, can position HW for long-term success.

Answer to the Question# 2(a) (i):

The Volkswagen emissions scandal underscores several key lessons in corporate governance:

1. Lack of Transparency: The company's deceptive practices demonstrated a failure to disclose its environmental impact to investors and regulatory bodies fully.
2. Weak Board Oversight: VW's board lacked independence and effective oversight, failing to hold management accountable and approving excessive executive compensation.
3. Conflicts of Interest: VW's relationship with its auditors, KPMG, involved conflicts of interest that compromised audit objectivity.
4. Inadequate Regulatory Supervision: The regulatory framework at the time failed to prevent or detect VW's misconduct, highlighting the need for stronger oversight.
5. Ethical Leadership: The scandal highlighted the importance of ethical leadership. CEO Martin Winterkorn's and other officials' actions undermined the company's integrity.
6. Reputational Damage: The scandal had a lasting impact on VW's reputation, affecting investor and customer confidence and leading to stricter industry regulations.
7. Enhanced Disclosure: The need for improved environmental impact reporting and transparency in corporate practices became evident, emphasizing the necessity for accurate and comprehensive disclosure.

Answer to the Question# 2(a) (ii):

The Volkswagen emissions scandal is a critical case study in corporate governance. It illustrates the consequences of unethical behavior and the importance of maintaining robust governance frameworks.

The scandal also prompted tighter regulations and enhanced scrutiny of emissions testing within the automotive industry.

Answer to the Question# 2(b):

Global trade war and mitigation ways of associated risks:

A global trade war disrupts supply chains, raises tariffs, and slows economic growth. Supply chains face higher costs and delays as tariffs increase the price of imports. Businesses may need to find alternative suppliers or shift production, adding complexity and expense. Tariffs also lead to higher inflation and job losses in trade-dependent industries, while global economic growth slows due to reduced trade and investment.

To mitigate these risks, businesses can:

1. Diversify suppliers and markets to reduce dependency on affected countries.
2. Optimize costs through efficiency improvements and automation.
3. Adjust prices to manage rising input costs while maintaining competitiveness.
4. Implement flexible sourcing and manufacturing systems to adapt to changing tariffs.
5. Hedge against risks using financial instruments or better forecasting (forwards, future or swaps arrangement).
6. Strengthen relationships with suppliers and partners for more stability and insight.

By adapting these strategies, businesses can navigate uncertainty, manage rising costs, and ensure growth.

Answer to the Question# 2(c):

Role and contribution of non-executive directors

Non-Executive Directors (NEDs) play a crucial role in ensuring effective corporate governance and contributing to the overall performance and integrity of the company. Here's how they contribute:

1. Independent oversight:

NEDs provide independent oversight of management and executive decisions, helping to prevent conflicts of interest and ensuring that decisions are made in the best interest of shareholders. They hold senior management accountable and challenge decisions that may not align with the company's long-term goals or ethical standards.

2. Strategic guidance:

They bring valuable external perspectives and expertise to the board, offering strategic advice and insights to guide the company's direction. NEDs often contribute to high-level decision-making and provide input on long-term strategies and risk management.

3. **Risk management and internal controls:**
   NEDs help strengthen the company's internal controls by monitoring risk management processes and ensuring effective systems are in place. Their involvement ensures that risks are identified, managed, and mitigated appropriately, reducing the chances of negligence, fraud, or corporate misconduct.

4. **Enhancing accountability:**
   NEDs support the establishment of robust accountability frameworks within the organization, ensuring that executive management is held to high standards of performance. They often serve on audit, remuneration, or nomination committees to oversee financial reporting, executive compensation, and board appointments, promoting transparency.

5. **Preventing dominance by executives:**
   By providing a counterbalance to the CEO and other executives, NEDs help prevent the dominance of a single individual or a small group, ensuring that board decisions are made collectively and based on objective discussions rather than personal interests.

NEDs contribute to the company's reputation by fostering good governance practices, ensuring ethical conduct, and promoting long-term value creation with their independence and ethical standards.

Answer to the Question# 2(d):

Artificial intelligence in strategic business management

To implement AI responsibly and ethically in strategic business management, businesses should focus on:

1. **Transparency and accountability:** Ensure AI systems are understandable and traceable, with regular audits to detect issues and ensure accountability.
2. **Mitigating bias:** Use diverse datasets and bias detection techniques to avoid discrimination and ensure fair decision-making.
3. **Job displacement:** Invest in re-skilling and up-skilling employees to adapt to new roles and promote human-AI collaboration instead of full automation.
4. **Privacy and data security:** Follow strict privacy regulations and incorporate privacy-by-design to protect personal data.
5. **Fairness and inclusion:** Design AI to promote fairness, inclusivity, and social good, respecting human rights and equal opportunities.
6. **Continuous monitoring:** Regularly monitor AI's impact, gather feedback, and make improvements to ensure responsible use.

By focusing on these principles, businesses can maximize AI's benefits while minimizing risks like bias, job displacement, and privacy concerns.

Answer to the Question# 3(a):

Exit strategy options available to a private equity firm:

1. **Initial Public Offering (IPO):**
   TechSolutions has achieved solid profitability and expanded its market share significantly. It has potential to generate substantial investor interest due to its high-growth prospects in the tech space. It is the perfect time of listing the company on a stock exchange to sell shares to public investors as the company's financials are strong, and the market for tech companies is favorable.
2. **Sale to a strategic buyer:**
   Selling the company to a larger firm in the same industry. Suitable when the company has a strong competitive position, and strategic synergies make it attractive.
3. **Secondary buyout:**
   Selling to another private equity firm. Works well if the company has shown steady improvement but needs further growth before a public offering.
4. **Recapitalization:**
   Refinancing the company to return capital to investors while maintaining ownership. Suitable when financial conditions allow increased leverage.The company's financial health allows it to refinance its current debt and provide partial liquidity to investors without an outright sale.
5. **Liquidation**
   Though this is not the case stated above, investors often sell assets if the business fails to achieve expected growth. This is used as a last resort when no other exit options are viable.

Key Considerations before exit decision:

- **Market conditions** (evaluate market environment, investor sentiment and economic conditions)
- **Company performance:** (Evaluate Company in terms of profitability and growth, sustainability)
- **Return on Investment (ROI):** (assessment of an ROI of at least 3x of initial investment or more)

Conclusion:

After careful evaluation of all exit options, investor may decide whether IPO or a strategic sale offers gives the best immediate return. This exit maximizes value and provides liquidity to the investors in line with their original goals.

Answer to the Question# 3(b):

Benefits of UPAS LC in Business:

1. **Credit extension:** The UPAS (Usance Payment Against Acceptance) LC allows ABC Ltd. to receive raw materials from Supplier X while deferring payment for 60 days, providing time to sell the goods or generate cash flow before making payment. This is particularly beneficial for businesses with cash flow constraints or in a country where foreign payment method is volatile.
2. **Security of payment:** The Letter of Credit (LC) provides a guarantee of payment to Supplier X, ensuring they are paid once the terms are met, even though the payment is deferred, minimizing supplier risk.
3. **Improved supplier relations:** The use of an LC enhances trust and facilitates trade between ABC Ltd. and Supplier X with secured payment through the banking channel involved.
4. **Risk mitigation:** The involvement of National Bank of Bangladesh (NBB) and ICBC (Advising Bank) ensures that ABC Ltd. has financial backing and Supplier X is assured of receiving payment, reducing risks associated with international transactions.

Proper recognition of interest expense:

Para 18 of **IAS 2**, states that "An entity may purchase inventories on deferred settlement terms. When the arrangement effectively contains a financing element, that element, for example a difference between the purchase price for normal credit terms and the amount paid, is recognised as interest expense over the period of the financing."

So, the interest expense related to the UPAS LC (BDT 450,000) should be charged to P&L under finance expense following the guidelines of IAS 2. Hence reporting team is correct whereas auditor's observation is not appropriate.

Answer to the Question# 3(c):

Green financing and third party verification:

Green financing refers to the allocation of financial resources to projects or initiatives that promote environmental sustainability, including renewable energy, energy efficiency, pollution control, and climate change mitigation. It involves investments, loans, or bonds designed to fund projects that have a positive environmental impact and contribute to achieving sustainability goals.

Role of third-party verification and independent audits in green financing:

Third-party verification and independent audits are crucial in green financing reporting to ensure credibility and avoid greenwashing—the practice where companies falsely claim environmental benefits to appear environmentally friendly without actually making meaningful changes.

1. **Ensuring accuracy and integrity:** Independent audits verify that the reported environmental benefits and sustainable practices of green projects are accurate and consistent with the claims. This helps build trust among investors, stakeholders, and the public.
2. **Mitigating greenwashing risks:** Third-party verification prevents companies from overstating their environmental achievements or misrepresenting the impact of their green projects. Auditors ensure that the financing is used for genuinely sustainable purposes and is aligned with established green standards.
3. **Credible reporting:** These verifications and audits provide transparency in green financing, ensuring that environmental claims are substantiated by real data and results. It enhances accountability and ensures the funds are being used appropriately for their intended environmental benefits.

In summary, third-party verification and independent audits are vital to ensuring the legitimacy of green financing projects, safeguarding against greenwashing, and fostering trust in sustainability claims.

Answer to the Question# 4(a) (i):

Increase in Net Profit:

Current credit sales income = TK30,000,000 x 0.8 = TK24,000,000

Credit sales income after introducing discount = TK24,000,000 x 1.2 = TK28,800,000

Increase in income by introducing discount = TK24,000,000 x 0.2 = TK4,800,000

Increase in net profit (profit before interest and tax) = TK4,800,000 x 0.1 = TK480,000

Bad debt reductions:

Current level of bad debts = TK24,000,000 x 0.005 = TK120,000 per year

Revised level of bad debts = TK28,800,000 x 0.00375 = TK108,000 per year

Reduction in Bad debts: TK120,000 – TK108,000 = TK12,000 per year

Reduction In Trade Receivables TK'000

Trade receivables taking discount = TK28,800,000 x 0.75 x 30/360 = 1,800

Trade receivables not taking discount = TK28,800,000 x 0.25 x 51/360 = 1,020

Revised level of trade receivables 2,820

Current trade receivables = TK24,000,000 x 51/360 = 3,400

Reduction in trade receivables 580

Summary Table	TK	TK
Benefits		
Reduction in financing costs = 580,000 x 0.04 =	23,200	
Increase in net profit =	480,000	
Reduction in bad debts =	12,000	
		515,200
Costs		
Increase in administration costs	35,000	
Cost of discount = K28,800,000 x 0.005 x 0.75 =	108,000	
		143,000
Net benefit of proposed early settlement discount =		372,200

Answer to the Question# 4(a)

(ii) Two Ways to Reduce Risk Associated with Foreign Accounts Receivable

1. Use of Export Credit Insurance

- Companies can insure foreign receivables through institutions such as **Export Credit Agencies (ECAs)**.
- This protects against **default, insolvency, or political risk** in the buyer's country.
- In Bangladesh, **Sadharan Bima Corporation** provides such export credit insurance.

2. Advance Payment or Letter of Credit (LC)

- Require foreign buyers to pay in advance or use **letters of credit** from reputable banks.
- LCs shift payment risk from the buyer to their bank, provided the seller meets the terms.
- Common practice in cross-border trade to protect against **currency and collection risk**.

(iii) Reasons Why Investment Finance May Be Limited Despite Attractive Opportunities

1. Lack of Access to External Financing

- Companies in developing economies like Bangladesh may face **tight credit conditions**, lack of collateral, or high interest rates.
- Banks may be reluctant to lend to SMEs despite profitable opportunities.

2. Internal Cash Flow Constraints

- If a firm operates on thin margins or high working capital cycles, it may lack sufficient **retained earnings** to reinvest.
- Heavy reliance on credit sales, slow receivables turnover, or high debt burdens limit internal liquidity.

3. Perceived Risk and Uncertainty

- Investment decisions may be delayed due to **political, regulatory, or macroeconomic uncertainty**, especially in volatile sectors.
- Investors might prefer liquidity over long-term capital projects.

4. Mismatch Between Investment Horizon and Available Finance

- Attractive projects (e.g., infrastructure or technology investments) often have **long payback periods**, while available finance may be **short-term** in nature.

Answer to the Question# 4(b) (i):

Advise on the potential risks with an IPO and what action can be taken to minimise such risks.

An IPO refers to the issue of shares onto the market – which could be the main stock market such as the Lusaka Stock Exchange or a smaller scale market such as AIM. The issue of shares will be made through an issuing house (usually an investment bank) which acquires the shares and offers them to the public either at a fixed price (known as an offer for sale) or offers them for tender (known as an offer for sale by tender).

Potential risks and remedies:

- The main risk is that not all of the shares are sold to the public and hence the company does not generate sufficient funds. This could be either because the price was perceived to be too high or because the economic conditions have deteriorated and the market for that company is in decline. It could also arise from bad publicity. The main remedy for this is to have the issue underwritten (which means that a third party will promise to buy any outstanding shares). However, this can be very expensive. It could also result in a fall in the share price immediately after the issue.

- Another risk is that the issue is over-subscribed. This could be because the price is set too low and hence becomes a bargain. Whilst the company will generate all the funds that it plans an over-subscription could be damaging to its reputation and credibility. It also has the effect of passing profit to the new investor which, with proper pricing, would have come to the company. Therefore, it is important that the price of the issue is set at an appropriate level. The use of a tender issue can help avoid this risk.

Answer to the Question# 4(b) (ii):

Discussion on the concerns of the Directors regarding the possible implications of becoming a listed company on dividend, financing and investment strategies and the interrelationship between them.

Implications of a Listing for Dividend Policy

In listed companies it would be more common to find a policy of paying a stable level of dividend,that is, a constant dividend per share or a dividend per share that is growing at a constant growth rate each year in line with average underlying growth in profits. In general, investors prefer a predictable dividend level that grows at a consistent but sustainable rate. If MBBS were to list, then the profile of its shareholders will change, as will shareholder expectations about dividend levels.

For listed companies dividend policy is seen as an important indicator of where the company is and what its plans are. That is, dividends give signals to the market about the strength of the company. There is a major difference here between listed companies and privately owned companies where shareholders have inside information about the performance of the company and do not need to rely on the signalling effect of dividends. Because of this signalling effect for listed companies a typical dividend policy would be one of constant or constantly growing dividend which does not change much year on year.

MBBS is accountable to its shareholders and needs to ensure that the dividend policy atches the expectations of shareholders. Most shareholders will require stable growing dividends ear on year and not fluctuating dividends. Major shareholders such as large financial institutions (eg: pension funds) also usually prefer regular dividend payouts so that they can plan their cash flows. Other investors may also have chosen to invest in a particular share due to anticipated future dividend levels.

Another consideration is the share price itself. Once listed, MBBS would be interested in protecting its share price. The market prefers predictable dividend levels, this helps signal stability and hence improve market confidence in the company. This, in turn, protects or improves the share price.

Answer to the Question# 5(a):

Share options to Executive Directors

The grant of share options must be accounted for in accordance IFRS 2 Share Based Payments as they appear to fall within the definition of Equity Settled Share Based Payments. Macdonald Plc will acquire employee services over the three year performance period for which it will settle by awarding options on its shares.

IFRS 2 requires that the cost of a Share Based Payment (SBP) must be recognized as an expense over the performance where rights vest over a future period. In this case, the estimated total cost of the SBP will be spread over the three year performance period commencing 1.1.2025.

The amount of expense to recognize each year will be based on the estimated total cost based on the options fair value on the grant date, that is on 1.10.2024. The accrual of the SBP expense in P/L will result in recognition of a SBP Reserve within Equity in the SFP.

The SBP reserve to report in Macdonald's SFP at 31.12.2025 will be computed as follows:

	TK'000
Estimated total cost of SBP based on estimates at 31.12.2025 (4-1) Directors X 600,000 options per Director X TK0.5 per option	900
SBP Reserve at 31.12.2025 based on years of performance to date: 900x1/3	300

Therefore, Macdonald must report a SBP reserve of K300,000 in its financial statements for the year to 31.12.2025. This amount will be presented within equity

In the P/L for the year to 31.12.2025, Macdonald will report a SBP expense equal to the increase for the year in the SPB Reserve. This being the first year, the opening SBP Reserve was nil and hence the increase in the SBP Reserve equals its balance at 31.12.2025. Therefore, Macdonald will report a SBP expense amounting to K300,0000 in its P/L for the year to 31.12.2025.

With regard to equity settled SBP, deferred tax assets will arise on tax deductible temporary differences as the entity will normally benefit from future tax relief when a cost equal to the intrinsic value of the options (market value less exercise price) becomes deductible for tax purposes in the period when the options are exercised. In accounting for deferred tax in earlier periods, the temporary difference (tax deductible) is computed as the currents intrinsic value of the options attributable to the performance period to date.

Arising from the above, the following are computations relating to deferred tax on the SARs for the year to 31.12.2025:

	Date(31.12) 2024 TK'000	2025 Tk'000
Tax deductible Temporary Difference (Intrinsic value of the shares under optionsX1/3)	0	
(5.1-4.5)X(4-1)X600000X1/3		360
Deffered Tax Asset at 40%	0	144

A deferred tax asset of K144,000 will therefore be reported in Macdonald's SFP at 31.12.2025 in respect of the share options. The increase in the deferred tax asset of K144,000 will be credited to P/L for the y/e 31.12.2025 and presented within the income tax expense.

Answer to the Question# 5(b):

Share Appreciation Rights (SARs) to the senior managers

The award of SARs must be accounted for in accordance IFRS 2 Share Based Payments as they appear to fall within the definition of Cash Settled Share Based Payments. Macdonald Plc will acquire employee services over the three year performance period for which it will settle by paying amounts of cash bonuses based on the change in the fair value of its equity shares.

IFRS 2 requires that the cost of a Share Based Payment (SBP) must be recognized as an expense over the performance period where rights vest over a future period. In this case, the estimated total cost of the SBP will primarily be spread over the three year performance period commencing 1.1.2025. The amount of expense to recognize each year will be based on the estimated total cost incorporating the current fair value of the equity instrument as by definition, the amount of cash payable will depend on a future share price. The accrual of the SBP expense in P/L will result in recognition of a SBP liability in the SFP.

The SBP liability to report in Macdonald's SFP at 31.12.2025 will be computed as follows:

	TK'000
Estimated total cost of SBP based on estimates at 31.12.2025 (6-2) Managers X200,000 Shares per Manger X K(5.1-4.6) per share	400
SBP liability at 31.12.2025 based on years of performance to date: 400x1/3	133.3

Therefore, Macdonald must report a SBP liability of K133,333 in its financial statements for the year to 31.12.2025. This amount will be presented within non current liabilities (at least two years prior to settlement).

In the P/L for the year to 31.12.2025, Macdonald will report a SBP equal to the increase for the year in the SPB liability. This being the first year, the opening liability was nil and hence the increase in the liability equals the liability at 31.12.2025. Therefore, Macdonald will report a SBP expense amounting to TK133,333 in its P/L for the year to 31.12.2025.

In accordance with IAS 12 Income Taxes, deferred tax amounts will arise due to temporary differences between the carrying amounts of the SPB liabilities reported in the SFP and amounts recognized for tax purposes (Tax Base amounts) at each reporting date. Costs relating to employee remuneration are generally tax deductible in the period when they fall due for payment to employees according to Macdonald's tax jurisdiction. This implies that tax base amounts are nil at points in time before the SBP vest and fall due.

Arising from the above, the following are computations relating to deferred tax on the SARs for the year to 31.12.2025:

	Date(31.12) 2024 TK'000	2025 Tk'000
Carrying amount of SBP liabity in SFP	0	133.3
Tax Base Amount	(0)	(0)
Temporary	0	133.3

The temporary difference of TK133,3333 at 31.12.2025 is a tax-deductible difference (will reduce taxable profits in future) and therefore gives a deferred tax asset of TK53, 333.20 (i.e. 40%X133,333) to be reported in Macdonald's SFP at 31.12.2025. This gives a decrease in deferred tax liabilities (increase in deferred tax assets) equal to TK53,333.20 as there was no opening deferred tax asset/liability at 1.1.2025. The increase in the deferred tax asset will be credited to P/L for the year as part of the income tax expense.

Answer to the Question# 6

a) Auditors' Response to Suspected Non-Compliance & Money Laundering

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i) Was it appropriate for the audit manager to directly communicate with ICAB regarding their suspicions?

No, it was not appropriate for the audit manager to initially and directly approach ICAB regarding suspicious transactions without first following internal communication protocols and guidance as required by ISA 250 (Revised) and the IFAC Code of Ethics (adopted by ICAB).

Reasons:

- Client Confidentiality (IFAC Code of Ethics / ICAB Code):
  - Confidential information obtained during the engagement should not be disclosed without proper authority unless there is a legal or professional duty to disclose.
- First step under ISA 250 and ISA 240:
  - Communicate internally with audit engagement partner.
  - The engagement partner should assess whether there is a need to escalate internally or obtain legal advice before contacting external parties.
- ICAB is a professional body, not an investigative or enforcement authority. Reporting to them may breach confidentiality unless authorized by law or regulation.
- Bangladesh's Money Laundering Prevention Act (MLPA) and FRC Act may require external reporting — but this must be done through the appropriate regulatory or enforcement channels, not the professional body (ICAB) unless mandated.

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ii) Communication hierarchy under ISA 250 for suspected non-compliance
ISA 250 (Revised) – "Consideration of Laws and Regulations in an Audit of Financial Statements" sets out a hierarchy for communication:

◈ Communication Hierarchy:

1. First Level:
   - Discuss with appropriate level of management, starting from the person with authority (usually CFO or finance head).
2. If Inadequate Response or Suspicions Increase:
   - Escalate to those charged with governance (e.g. Audit Committee, Board of Directors).
3. If Management or Governance is Involved in Non-Compliance:

- Bypass management and directly communicate with those charged with governance.

4. Legal or Regulatory Disclosure:
   - Auditor may disclose externally if required by law (e.g., under anti-money laundering laws, fraud reporting obligations).

◈ Confidentiality vs. Public Interest:

- IFAC Code of Ethics (Section 260/360) allows disclosure of non-compliance if:
  - There is a legal requirement to report (e.g., to the Financial Intelligence Unit, BFIU under MLPA).
  - Disclosure is made in good faith and in the public interest.
- Confidentiality is not absolute if there's a legal obligation to report money laundering or fraud.

Conclusion: Yes, communication to a regulatory authority (e.g., BFIU or FRC) is permissible and mandatory under anti-money laundering laws, even if it overrides confidentiality.

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iii) Reporting hierarchy under the FRC Act 2015 for significant non-compliance
As per the Financial Reporting Act, 2015 (Bangladesh):

◈ Reporting Path for Significant Non-Compliance:

1. Auditor → Management
   - Initially report concerns to company management.
2. Auditor → Board / Audit Committee
   - If unresolved or if management is involved.
3. Auditor → Financial Reporting Council (FRC)
   - If significant non-compliance or fraud is suspected that affects the integrity of financial statements and public interest.

◈ Legal Duty:
Under Section 40 of the FRC Act, auditors are obligated to report significant non-compliance or irregularities to the FRC if such matters materially affect the financial statements.

Conclusion: The auditor has a statutory duty to report to the FRC in cases of significant fraud or suspected money laundering — following internal escalation first, and then external reporting if justified.

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b) Misappropriation of Assets under ISA 240
Definition:
ISA 240 – *"The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements"* defines misappropriation of assets as:
"The theft of an entity's assets and is often perpetrated by employees in relatively small and immaterial amounts. However, it can also involve management and be material."

Common Methods of Misappropriation in a Company:

Type	Example
◈ Theft of Cash	Skimming revenues before recording, lapping, or stealing petty cash
◈ Payroll Fraud	Payments to fictitious employees or inflated salaries
◈ Falsifying Expense Reimbursements	Claiming non-business or inflated expenses
◈ Theft of Physical Assets	Stealing inventory, equipment, or supplies
◈ Unauthorized Use of Assets	Using company vehicles or assets for personal benefit
◈ Misuse of Confidential Information	Diverting business opportunities for personal gain
◈ Procurement Fraud	Collusion with vendors for inflated invoices or kickbacks

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Answer to the Question# 7:

To Mr. Kamal Ahmed CEO
The Engineers Ltd

From:
A CA Student
Date

Introduction
The prevention and detection of unethical or illegal conduct is an imperative for a business of any size, but especially a listed Company where malpractice may negatively impact on the firm's share price, as has happened Engineers Ltd. Building an organizational culture where leaders and employees collectively focus on high ethical standards is both desirable and possible.

Ethics is not easy to define, but generally it refers to standards of conduct, morals and good character. it is important that each organization clearly define its own ethical guidelines, though while Engineers has an "ethical policy", the firm has not effectively operationalized it. This requires not only dealing with misconduct but also establishing a culture and framework that drives ethical behavior.

Building an Ethical Framework

The following actions, if implemented effectively, should allow Engineers to improve both its ethical performance and reputation. However, this will take time, and will require Engineers to provide leadership and resources, including financial resources, to realize the benefits.

1. Appoint an ethics officer
2. Create an ethics steering committee
3. Implement a code of ethics
4. Invest in ethics training
5. Communicate ethical Values and standards

Appoint an Ethics Officer
the ethics officer serves as the firm's internal control point for ethics and improprieties, allegations, complaints and conflicts of interest. The core responsibility of the ethic officer is to design and manage an effective ethics framework and culture. The Company will need to make the appointment at a senior management level, and the officer should ideally report directly to CEO. There are two reasons for this: it illustrates the importance that the firm is now giving to its ethical obligations, and it provides the incumbent with the visibility and independence to effectively fulfil the role. in the current circumstances, it is recommended that the ethics officer would be an external appointment.

Create an Ethics Steering Committee
Chaired by the ethics officer, Engineers should put into place an ethics steering committee. the committee will guide the development of Engineer's ethical framework, and should have membership from across the firm, including the board of directors. as well as providing guidance, the existence of the committee will again emphasize the firm's commitment
to a more ethical business approach.

Implement a Code of Ethics
Building on the general ethical policy that Engineers has already, the firm needs to develop a detailed code of ethics. This will set out Engineer's ethical values, as well as management and employee responsibilities in upholding these values. The firm's code of ethics should also give guidance to its employees on how to deal with certain ethical situations, particularly in the areas where it has already been seen to fail ethically. the code should ideally also set out the penalties, including dismissal, for breaches of the code. it will take some time, and likely some external support and advice, to ensure Engineers develops a code of ethics that will be effective. As part of the code, or separately, if Engineers considers it more appropriate, the firm needs to implement a "Whistle blower's charter". this should detail the obligations for staff to report colleague's suspect behavior and potential conflict of interests but must also include the protections that will be given to the Whistle blower, for example, anonymity, career progression, the opportunity to transfer to a different unit of the firm. In addition, the code will need to include practical reporting and investigating procedures for ethical infringements as well as clear consequences for ethics violations.

Invest in Ethics Training

The Engineers will need to invest in ethics training for employees and management. ethics training aims to enable all staff to understand, share and apply the values stated in the code of ethics. training in ethics enables staff to judge the moral legitimacy of their decisions and fosters the employees' agreement and compliance with the organization's ethical vision. the training should include identifying ethical dilemmas and problem solving. the ethics training program should not be a once-off for staff but should be recurring and "topped up". this will require a commitment and the investment of significant resources by Engineers.

Communicate Ethical Values and Standards

Engineer needs to ensure that all staff are aware of the ethical standards and behaviors expected of them. this will require ongoing communications using various media and fora. the possible communication alternatives may include the training course mentioned above, induction courses, an ethics booklet, email reminders, and speeches on the part of management, especially Mr, Kamal an ongoing reiteration of the importance of ethical behavior, alongside reinforcement through HR policies, will be core to Engineers creating a more ethical culture.

Conclusion

it is critical in the current business environment that firms pursue a more ethical approach to business and act responsibly. changing a firm's culture is difficult, and Mr. Kamal will find it challenging to address the ethical shortcomings in Engineer Ltd. It will take some time and a significant investment to alter the staffs' current ethical approaches and mindset. there are two factors exacerbating the situation for Engineers. Firstly, the countries where the firm seems to focus its international activities are perceived to have weaker ethical and compliance standards than Bangladesh. Secondly, it is not clear to what extent Mr. Kamal will enjoy the full backing of the board: to succeed, the ethical initiative will require active support from senior management, as well as significant financial investment. A key to success will be the leadership of Mr. Kamal – see below.

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